

Investment Memorandum



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Executive Summary

K-Fin Limited is pleased to present an opportunity to acquire a 20MW operational wind farm, known as Windfarm Wind Farm ("The Project"), on behalf of GENERIC INVESTOR. This wind farm benefits from the UK's Renewables Obligation ("RO") scheme, qualifying for one Renewable Obligation Certificate ("ROC") per MWh until July 2030. GENERIC INVESTOR Capital Partners is orchestrating the sale of Windfarm Holdings Limited ("WHL"), which holds full ownership of the wind farm's SPV, Windfarm Energy Limited ("WEL"). Having been operational for ten years, the Wind Farm boasts a solid track record as a high-quality and well-performing asset. Following an independent asset life review, the wind farm is projected to remain operational for a total of 35 years.

Investment Summary

Located in England, this project's cash flows are secured by inflation-linked contracted revenues until 2030, under the UK's RO subsidy regime. It benefits from a comprehensive O&M service agreement that includes a 90% production-based guarantee, and a Route-to-market PPA with ABC Electricity, which offers advantageous season-ahead pricing. Long-term financing is fully amortising and fully hedged, presenting no refinancing risk following a refinancing in 2016. The project also offers flexibility in power sales strategy and the potential for optimizing the PPA terms. There is scope to refine the business case further, with approximately 4MW of existing excess grid capacity available. The asset has a long operational life with future potential for re-powering.

Project Summary

The Project is situated at Windfarm Farm in Cambridge and comprises 10 turbines, each with a capacity of 2MW. It operates under a 24-year full-scope Active Output Management (AOM) agreement, which includes a 90% production-based availability guarantee. Independent assessments confirm that both the turbines and civil infrastructure can achieve a useful life of 35 years. Energy is exported to the grid through two feeder stations at Burwell and Fulbourne, having a total capacity of 24.7 MVA. Commercial operations began in September 2010, and the project was accredited under the RO scheme in July 2010, ensuring it receives 1 ROC per MWh until July 2030. Energy sales are secured through a route-to-market Power Purchase Agreement (PPA) with ABC Electricity, valid until 2027, with fixed season-ahead pricing until April 2024. Following a refinance in 2016, the Project secured long-term, portable debt through Lender Corporation ("LENDER") until 2030, which is fully hedged at attractive all-in rates.

GENERIC INVESTOR, an independent infrastructure fund manager with EUR 1 billion of AUM, is orchestrating the sale of 100% equity and shareholder loan interests in Windfarm Holdings Limited ("WHL"), which owns 100% of the wind farm SPV, Windfarm Energy Limited ("WEL"). WHL was established on 23 June 2009. GENERIC INVESTOR specializes in unique private market strategies within infrastructure equity, focusing on creating highly diversified portfolios across a broad spectrum of projects in Europe, the Americas, and Australasia.

Senior debt

As of 2016, the facility agreement for the project totals a commitment of £31,881,750, comprising a £30,000,000 term loan facility and a £1,881,750 debt service reserve facility. This agreement, referred to as the “Senior Loan,” involves multiple parties including the Lender Lead Arranger, Facility Agent, Security Agent, and Account Bank. The Project benefits from a senior Facilities Agreement with Lender Corporation Europe Limited (LCEL) dated 13 February 2016, with final repayment due in 2030. The outstanding Senior Loan as of December 2022 was £31.9m, carrying a margin that escalates from 195bps to 214.5bps in 2028. A Debt Service Reserve Facility of £1.9m is also in place. Importantly, there are no penalties for early repayment of the debt or the hedge, providing flexibility for capital structure optimization.

Onshore wind market

Onshore wind has significantly shaped the renewable energy landscape of the United Kingdom since 2006, with its contribution to the energy mix steadily increasing. The UK's favorable wind resources and governmental subsidies have spurred the widespread development of onshore wind farms. As a global leader in onshore wind deployment, the UK boasts over 25GW of operational capacity. This expansion has been predominantly supported by the Renewables Obligation (RO) scheme, initiated in 2002, which mandated electricity suppliers to source a certain percentage of their power from renewable resources.

Under the RO scheme, onshore wind projects were granted Renewable Obligation Certificates (ROCs) for each MWh of electricity generated, which could be sold to suppliers usually via Power Purchase Agreements (PPAs), thereby generating additional revenue and enhancing the financial viability of these projects. Although the RO scheme closed to new projects in 2016, previously accredited projects like Windfarm have their benefits "grandfathered," ensuring continued RO payments for the duration of their contracts. The RO has been succeeded by the Contracts for Difference (CfD) scheme, a reverse auction system that, despite not being as effective as the RO in stimulating onshore wind investment, still supports the sector's growth.

Onshore wind is recognized as one of the most cost-effective renewable energy forms. Advances in turbine technology have not only improved efficiency but also enhanced performance. Additionally, onshore wind has played a crucial role in reducing carbon emissions, boosting energy security, and creating employment opportunities within the renewable sector.

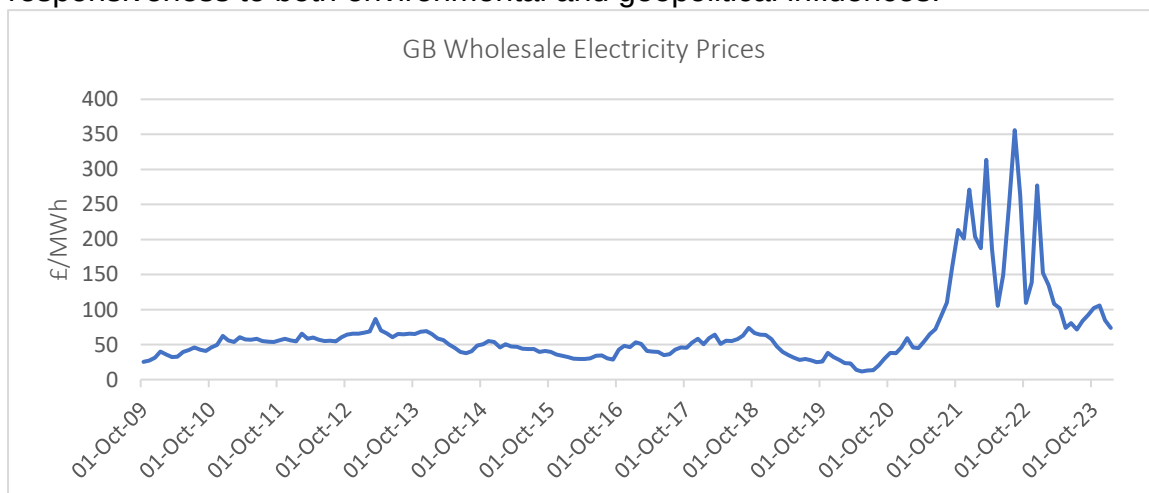
The British Energy Security Strategy of 2022 has pledged further support for the repowering of existing onshore wind projects. Public support for renewable developments in local areas is high, with a 2022 survey indicating that 76% of respondents favor such initiatives. The

ongoing climate crisis, recent surges in energy prices, and a heightened focus on energy security have intensified political pressures. Recent amendments to the UK Energy Bill proposed by Conservative ministers aim to revoke the "ban" on new onshore wind developments in England, and the opposition Labour Party has expressed a strong commitment to expanding wind power. Overall, operational onshore wind power continues to profoundly influence the UK's transition to renewable energy, driven by market forces, technological advancements, and national commitments to decarbonization and climate change objectives.

Wholesale Market

The GB wholesale electricity market has experienced significant volatility over the past 12-18 months, primarily driven by global events such as increased energy demands due to the coronavirus pandemic and geopolitical tensions following Russia's invasion of Ukraine. Historically, power prices fluctuated between £40-60 per MWh. However, a spike occurred in late 2021 when a combination of high gas prices in Europe and diminished wind levels pushed prices well above £100 per MWh. This surge intensified following the geopolitical developments in early 2022.

Onshore wind power, which typically sees increased generation during the winter months, coincides with periods of elevated power prices, benefiting from these market conditions. The Project is well-positioned with a route-to-market Power Purchase Agreement (PPA) that includes provisions for future price fixing. For the Winter 23/24 season, it has successfully secured a price of £406 per MWh, significantly above the current wholesale price forecasts. This strategic positioning highlights the value of adaptable pricing strategies in the volatile energy market. The accompanying graph, spanning from 2009 to 2023, illustrates these trends and fluctuations in power prices, underscoring the market's responsiveness to both environmental and geopolitical influences.



ROCs

Under the UK's Renewable Obligation (RO) scheme initiated in 2002, energy suppliers must source a specified percentage of their electricity from renewable sources, achieving the set RO target. Renewable energy generators receive Renewable Obligation Certificates

(ROCs) for each megawatt-hour (MWh) of electricity produced, which incentivizes the production of renewable energy. Initially, each MWh of eligible renewable output generated one ROC. However, in 2009, amendments were introduced to provide varying levels of support for different renewable energy technologies based on their costs and market readiness.

ROCs can be sold to energy suppliers who fall short of generating the required number of ROCs themselves. These suppliers must surrender the appropriate number of ROCs to Ofgem, the industry regulator, to fulfill their obligations. This mechanism creates a secondary income stream for businesses generating surplus renewable energy, further promoting investment in the sector.

The price of ROCs is market-driven, influenced by supply and demand dynamics, with the ultimate cost being passed onto consumers via energy bills. ROCs have a fixed buy-out price annually adjusted by the Retail Price Index (RPI) inflation rate, providing a predictable revenue stream. For the 2023/2024 period, the buy-out price is set at £103.3 per ROC. Additionally, a variable ROC Recycle payment is distributed, sourced from the administrative costs of the scheme recovered from the buy-out fund, with remaining funds distributed back to suppliers in proportion to their submitted ROCs. The final Recycle value for the 2021-22 year was £13.02 per ROC, disbursed in December 2022.

The Project capitalizes on this scheme by receiving one ROC per MWh, with its Power Purchase Agreement (PPA) with ABC Electricity encompassing the sale of ROCs and the handling of associated Recycle payments. The inflation of ROCs by RPI, which saw a peak rate of 13.9% in late 2022 following the Russian invasion of Ukraine, underscores the impact of global events on local energy economics. This inflation was driven by escalating gas prices, which subsequently led to significant increases in domestic energy bills, fuel costs, and general goods inflation. Although inflation has receded from its peak, it remains above 6%, with RPI typically running about 1% higher than the Consumer Price Index (CPI), another measure of inflation. The buy-out price for ROCs saw a 12% increase in the 2021-22 period due to these inflationary pressures.

REGOs

Renewable Energy Guarantees of Origin (REGOs) certificates were established in 2003 as a measure to verify the proportion of renewable electricity supplied by electricity suppliers in Great Britain and Northern Ireland. For each megawatt-hour (MWh) of eligible renewable output, one REGO certificate is issued to the generators. The primary function of REGOs is to facilitate the Fuel Mix Disclosure (FMD) which mandates licensed electricity suppliers to transparently declare the composition of fuels (coal, gas, nuclear, renewable, and other) used in the electricity they supply to consumers.

In a significant policy shift, the UK announced in July 2022 that it would cease recognizing EU Guarantees of Origin (GoOs) from April 2023 onwards. Consequently, all green certificates used in FMD statements must be sourced domestically. This change has notably increased the market value of REGOs. For instance, wind-generated REGOs were trading at over £15.8 in May 2023. According to data from ABC Electricity, REGO prices are expected to remain within the range of £15-£19 per MWh for the forthcoming compliance periods, reflecting a sustained demand and the increased importance of local renewable energy certification under the new regulatory framework.

EGL

The Electricity Generator Levy (EGL) was introduced in November 2022 as a temporary financial measure. This 45% charge applies to electricity generators when the wholesale electricity they produce is sold at prices exceeding a Consumer Price Index (CPI) inflation-linked threshold of £75 per megawatt-hour (MWh). The levy is effective from January 1, 2023, until March 31, 2028, targeting a specific segment of electricity production.

Specifically, the EGL is applicable only to generators whose annual in-scope generation output exceeds 50 gigawatt-hours (GWh). Additionally, the levy is imposed on exceptional receipts that surpass £10 million within an accounting period. In the case of the Project under discussion, both in isolation and as part of the ultimate owner's portfolio, it does not meet the threshold for excess receipts and thus falls outside the scope of this levy.

For potential investors considering the acquisition of the Project, it is crucial to evaluate how it fits within the broader context of their existing group and acquisition structures. This assessment will help determine the financial implications of the EGL and ensure compliance with the regulatory framework while optimizing the financial returns from the investment.

Technical specifications

The Project, comprising ten 2MW wind turbine generators (WTGs), has shown robust operational performance. Technical Consultants Limited ("Technical Consultant") have confirmed the absence of ongoing technical issues with the 2MW WTG model. A significant enhancement was the Power Performance Optimisation software upgrade implemented in July 2020 across all turbines, which has improved power capture and performance, showing an annual energy production gain of 1% to 2%. Additionally, a life extension review conducted by the Technical Consultant has positively concluded that the technical life of the Project can be extended to 35 years, with a maintenance plan that includes blade bolt replacement and blade reinforcement campaigns.

The operational life of the Project, currently capped at 25 years, has the potential for extension. This would involve submitting an application to the local planning authority (LPA), ideally around 10 years prior to the expiry of the current planning consent. The extension would also support the UK's goal of achieving 100% of electricity consumption from low-carbon sources by 2035. In 2022, renewables accounted for 48.5% of the energy mix, and to bridge this gap, the April 2022 Energy Security Strategy proposed enhanced targets for solar, wind, and hydrogen development.

On the community front, the Project has been actively involved in onshore wind community benefit schemes, which have been utilized for local initiatives such as upgrading village halls and enhancing recreational and educational facilities. The asset manager, Asset Manager Inc (“AMI”), continues to foster positive local community relations.

Considering the future, repowering the Project is a viable option. This would involve replacing the existing WTGs with newer, more efficient models that offer improved performance and reduced operational costs.

Windfarm Energy Limited (WEL) and Windfarm Holdings Limited (WHL), the entities behind the Project, do not employ any staff and have not faced significant disputes. From an environmental, social, and governance (ESG) standpoint, the Project is favorably viewed, maintaining compliance with ongoing environmental obligations that include habitat management, noise control, and shadow flicker, as per the Technical Consultant’s TVDD report.

The Project is connected to the distribution network via a substation, with a maximum export capacity of 24MW, which surpasses the installed capacity by 4MW. This excess capacity offers potential for additional generation, subject to discussions with the Distribution Network Operator (DNO). Alternatively, aligning the export capacity with actual generation could optimize network usage costs.

PPA

Windfarm Energy Limited (WEL) has established a long-term Power Purchase Agreement (PPA) with ABC Electricity Markets GmbH, which was signed on 10 August 2009. The contract spans 22 years, aligning with the operational start date and set to expire on 14 September 2031. This PPA provides substantial flexibility in revenue strategy, allowing WEL to either lock in prices season-ahead or operate on a fully merchant basis.

For the upcoming periods, the fixed prices under this PPA are as follows:

- Summer 2023 (from 01/04/2023 to 30/09/2023): £382.55/MWh
- Winter 2023 (from 01/10/2023 to 31/03/2024): £405.93/MWh

Additionally, the agreement includes a floor price of £58.1/MWh starting from 1 January 2023, which importantly remains static and unaffected by any legislative changes. This floor price provides a minimum revenue assurance, safeguarding the financial viability of the project against market fluctuations.

The revenue sharing structure in the PPA dictates that 90% of the revenues accrue to WEL, while ABC Electricity receives 10%. In the current market context, this sharing ratio is considered favorable for WEL, providing a lower-than-average financial obligation towards ABC Electricity. This arrangement not only secures a significant portion of the revenue for the operator but also presents an opportunity to renegotiate terms potentially more advantageous in future negotiations, given the evolving dynamics of the energy market.

O&M

The Windfarm Project has a comprehensive Operations and Maintenance (O&M) Agreement in place, set to expire on 14 September 2036. This agreement is crucial for ensuring the turbines' optimal performance and includes a 90% production-based warranty. Here are the key financial terms of the O&M contract:

Annual Fees (CPI linked to 2012 prices):

From September 2022 to September 2032: The greater of £48,750 per turbine or £10.32 per MWh.

From September 2032 to September 2037: The greater of £55,250 per turbine or £14.43 per MWh.

Availability Warranty: The contract includes a Lost Production Guarantee which assures a 90% availability. If availability exceeds this threshold, the O&M provider is entitled to a Production Bonus equal to 42.3% of any additional revenue generated.

Performance Credit Guarantee (PCG): Provided by the O&M to further secure turbine performance.

Regarding the land lease, which was signed on 2 June 2009 with a term of 30 years expiring in June 2041, key financial obligations include:

Land Rent

The greater of a base rent of £6,500 per MW installed (RPI linked to 2004 prices) or a royalty rent, which is the higher of:

£3 per MWh, increasing to £5.2 per MWh in 2023 (RPI linked, 2004 prices), or
6.5% of revenue, increasing to 9.2% in 2023.

Additional lease-related costs are:

- Substation Rent: £16,495 per annum (RPI linked, 2022 prices).
- Annoyance Rent: £16,597 per annum (RPI linked, 2022 prices).

The total estimated land costs for 2024 are projected to be approximately £1.1 million, notably higher due to the impact of seasonal fixed prices on royalty rent.

Finally, the lease mandates the decommissioning of the turbines after the 30-year occupation period, with specific reinstatement obligations secured by a restoration fund. Although planning permission anticipates decommissioning after 25 years, it does not

specify the required amount for the decommissioning fund. The restoration fund, established during the construction phase, currently holds £1,761,999, providing financial assurance for future decommissioning needs.

The Project's operations and financial arrangements encapsulate a complex structure that integrates asset management, contractual obligations, and financial strategies, structured to optimize both operational efficiency and financial performance.

Asset Management

The asset management fee is set at £89,000 per annum, with annual increments pegged to the September-published RPI. Services encompassed include technical and commercial management, operations and management, operating reporting, financial services, and insurance services. Under the Asset Management Agreement, AMI outsources financial management and reporting to Pario Renewables.

Electricity Supply Contract

The terms of each Electricity Supply Contract are delineated in the Electricity Supplier's Industrial and Commercial Power Supply Agreement. These agreements, effective until March 2024, fix the cost of imported electricity between 32p and 43p per kWh, with a daily standing charge of £2.4 and pass-through costs related to availability and the capacity market of approximately £3 per day.

Additional Revenue Streams

GENERIC INVESTOR receives fees for providing directorial, advisory, and support services amounting to £58.5k annually, a structure expected to be revisited post-transaction.

Shareholder Affiliated Financing

WHL has shareholder-affiliated financing through loan notes originally lent to WEL, bearing an interest rate of 8% per annum, with repayment set for 30 September 2035. The outstanding balance of the shareholder loan notes in WHL as of the Locked Box Date was £8.7m.

Production and Pricing

Current fixed pricing arrangements with ABC Electricity are as follows:

- £94.36/MWh for Oct 22 - Mar 23

- £382.55/MWh for Apr 23 - Sep 23
- £405.93/MWh for Oct 23 - Mar 24

Post-March 2024, PPA pricing transitions to market rates until the PPA's expiration on 27 August 2031. Post-PPA, revenue sharing percentages are anticipated to reflect current market contracts.

ROCs and Renewable Certifications

Until 31 March 2027, ROC prices follow Ofgem's pricing, with a ROC Recycle assumed at 15% of the RO buy-out price. Post-2027, the ROC pricing structure is expected to align with legislative forecasts, with all ROC revenue inflated at RPI.

Project Operational Costs and Decommissioning

Operational costs, including land costs and utilities, are projected to rise in line with historical CPI and RPI figures. The decommissioning reserve, held in a non-interest-bearing account, will require active management to ensure compliance and financial adequacy.

Economic Outlook

The economic environment, characterized by anticipated increases in CPI, RPI, and SONIA rates, will influence the Project's financial planning and interest earnings, particularly with the planned enhancement of returns through time deposit accounts with LENDER starting April 2024.

This detailed overview encapsulates the financial and operational dynamics of the Project, highlighting its current and future potential within the shifting landscape of energy production and financial strategy optimization.